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IFRS 18 - New Standard for Presentation of Financial Statements

Examiner: Prof. Dr. Jürgen Ernstberger, Full Professorship Financial Accounting

Person in Support: M. Sc. Felix Müller

Course of Study: Technical University of Munich - Management and Technology

Submitted by: Mehmet Oğuz Tulum,

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Table of Contents.....	I-II
List of Figures.....	III
List of Tables.....	IV
List of Abbreviations.....	V
1. Introduction	
1.1 Background, Rationale and Objectives of the Study.....	1
1.2 Scope and Limitations.....	1
2. Financial Disclosure Fundamentals.....	1
2.1 Brief History and Importance of Financial Disclosure Standards.....	1
2.1.1 A Brief History of Financial Disclosure Standards.....	1
2.1.2 Importance of Financial Disclosure Standards.....	2
2.2 Existing Financial Disclosure Standards : IAS 1, IFRS 7.....	3
2.2.1 IAS 1: Presentation of Financial Statements.....	3
2.2.2 IFRS 7: Financial Instruments Disclosures.....	4
2.3 Shortcomings of Current Disclosure Standards.....	4
2.3.1 Subtotals in the Statement of Profit or Loss.....	5
2.3.2 Aggregation and Disaggregation.....	5
2.3.3 Usage of Non-GAAP Measures.....	6
3. Upcoming Standard: IFRS 18.....	7
3.1 Overview of IFRS 18.....	7
3.1.1 Brief Introduction to IFRS 18.....	7
3.1.2 Importance and the Need of the New Standard.....	7
3.1.3 Brief History of IFRS 18 & Implementation Timeline.....	8
3.2 New Key Requirements and Changes.....	9
3.2.1 Classification of Income and Expense.....	9
3.2.2 New Subtotals in the Financial Statements.....	11
3.2.3 Disclosure of the Management Performance Measures.....	12
3.2.4 Improved Grouping of Information Requirements.....	14
3.2.5 Other Minor Changes Come with IFRS 18.....	16
3.3 Possible Benefits and Costs on Financial Statements and Notes.....	17
3.3.1 Benefits of the New Standard on the Financial Statements and Notes.....	17
3.3.2 Costs of the New Standard on the Financial Statements and Notes.....	19

3.4	Adoption and Transition Challenges.....	21
3.4.1	Adoption of IFRS 18.....	21
3.4.2	Transition Challenges of IFRS 18.....	21
4.	Case Studies and Conclusion.....	22
4.1	Case Study: Exemplary Practical Application of IFRS 18.....	22
4.1.1	Income Statement.....	22
4.1.2	Cash Flow Statement.....	25
4.1.3	Notes to the Financial Statements.....	26
4.2	Comprehensive Analysis of the Effects IFRS 18 Brings.....	28
4.3	Concluding Remarks and Conclusion	30
	Bibliography.....	VI

List of Figures

Figure 1: Companies with different Main Business Activities	11
Figure 2: Application scheme for MPMs.....	13
Figure 3: Expense Disclosure Types.....	15
Figure 4: Classification of Interest and Dividends on Cash Flow Statement.....	16
Figure 5: Classification of Foreign Exchange Differences across Companies.....	18
Figure 6: Income Statement of Mercedes-Benz Group AG 2022.....	23
Figure 7: Example of a Reconciliation of a MPM.....	27

List of Tables

Table 1 : Shortcomings of Grouping Informations	5
Table 2 : Major and Minor Changes.....	7
Table 3: MPM Criterias	13
Table 4: Income Statement of Mercedes-Benz AG Group 2022 with IFRS 18 Implementation	24
Table 5: Before-After IFRS 18 of Companies' Cash Flow Statament	26

List of Abbreviations

SEC: Securities and Exchange Commission

IASC: International Accounting Standard Committee

IASB: International Accounting Standard Board

IFRS: International Financial Reporting Standards

EU: European Union

IAS: International Accounting Standard

MPMs: Management Performance Measures

APM: Alternative Performance Measures

EBITDA: Earnings Before Interest Tax Depreciation and Amortization

GAAP: Generally Accepted Accounting Principles

CFA: Chartered Financial Analyst

1. Introduction

1.1 Background, Rationale and Objectives of the Study

In today's fast-paced business world, there is an increasing focus on financial disclosure. The drive towards transparency and accountability in financial reporting is a key concern for both practitioners and academics. The purpose of this paper is to contribute to the expanding knowledge about the new disclosure standard, IFRS 18.

IFRS 18 is set to replace IAS 1, affecting how financial information is communicated to stakeholders. The standard's main goal is to address the inconsistencies and lack of detail in current financial reporting practices, which often make it difficult for investors to analyze and compare financial performance across companies.

This study will examine the previous standards and their shortcomings briefly then examine the new key requirements and possible impacts on the financial statements components. By illustrating a real-world scenario and a potential implementation of the new standard, the paper aims to provide a comprehensive understanding of how IFRS 18 can enhance financial reporting and disclosure practices.

1.2 Scope and Limitations

The scope of this thesis lies within the boundaries of financial disclosure standards and focuses especially on IFRS 18. The aim of this thesis is to assess IFRS 18, its interpretation and influence on financial statements. This paper will cover the basic principles of financial disclosure, the main changes for IFRS 18 followed by a section on the challenges that companies can face during the implementation of the new standard. However, this thesis will not delve into other financial reporting standards in detail, nor will it cover industry-specific adaptations or exceptions comprehensively. The primary focus will remain on the general application and implications of IFRS 18, aiming to offer a clear understanding of its objectives, requirements, and the practical issues that entities may encounter.

2. Financial Disclosure Fundamentals

2.1 Brief History and Importance of Financial Disclosure Standards

2.1.1 A Brief History of Financial Disclosure Standards

With the rapid expansion of financial markets during the middle of the 20th century, the necessity of the transparent, consistent set of pre-defined standards arose. Main goals of these standards were to eliminate misinformation, manipulation and to create clear and reliable

information of public companies' financial health for stakeholders, such as shareholders, customers, governments, of the company and the public.

With the establishment of the SEC in 1934, in the wake of the 1929 stock market crash and subsequent Great Depression, the way was paved for the development of financial accounting standards. One of the main reasons for this establishment was to regulate financial markets and to restore public confidence by bringing transparency and accountability. This led to the development of many accounting standards and regulations, which today form the basis of financial disclosure practices. It had become apparent in the post-World War II era of expanding international trade and cross-border investments that there was a necessity for a global framework of standards. To be able to fulfill this necessity, the International Accounting Standards Committee (IASC) was launched in 1973, became the first international setting body and followed in 2001 by the International Accounting Standards Board (IASB) to succeed the IASC. It is the role of the IASB to come up with and implement International Financial Reporting Standards (IFRS) to provide a universal approach to financial reporting. Since then, the use of international standards has progressed. As of 2013, the EU and more than 100 countries either require or permit the use of IFRS issued by the IASB or a local variant of them.¹

Development of the new standard, IFRS 18 that is a replacement of IAS 1, is a current example of the IASB's continuous efforts to provide better financial disclosure standards. The standard was discussed for the first time by the board at the beginning of the second quarter in 2016 and the last version, *IFRS 18 Presentation and Disclosure in Financial Statements*, issued on 9 April 2024, which will be effective for entities from 1 January 2027.²

2.1.2 Importance of Financial Disclosure Standards

In recent decades, with the development of financial markets, the number of investors and the impact of companies over financial community have rapidly increased. Therefore, the investing culture of humanity has evolved which led to the importance of financial reporting and the components of it. Financial reporting is basically, a way of communication of companies' financial information to external or internal stakeholders through their core financial statements such as, balance sheet, cash flow statement and income statement.³ It can also be seen as an x-ray of a companies' financial health. In light of this, financial disclosure standards arose with the purpose of ensuring that these reports provided by companies are accurate, reliable, transparent and accountable. These financial disclosure standards are important

¹ (FASB, 2024)

² (IASB, 2024)

³ (Kristina Russo, 2022)

because through financial reports, companies raise capital, gain or lose investors' trust, and it helps investors to decide about the direction and healthiness of a company. Standards help maintain the integrity, completeness and consistency of the financial markets and these qualities allow investors to make decisions that are more informed, increase market efficiency, improve the general quality and the trust in the financial system. In the absence of these financial disclosure standards, the risk of misleading information would increase, potentially leading to an unstable economic environment. In summary, it can be concluded that with the help of converged international standards, financial markets are more transparent, accountable, comparable, stable, and consistent which lead investors to be more confident in their decision making process and be protected.

2.2 Existing Financial Disclosure Frameworks: IAS 1 and IFRS 7

2.2.1 IAS 1: Presentation of Financial Statements

International Accounting Standard (IAS) 1 is the essential standard for the presentation of financial statements; the first version was issued in January 1975 and was reissued in September 2007.⁴ Its main purpose is to set out overall requirements for the presentation of financial statements, guidelines for their structure and minimum requirements for their content. A complete set of financial statements comprises:

- a statement of financial position as at the end of the period,
- a statement of profit and loss and other comprehensive income for the period. Other comprehensive income is those items of income and expense that are not recognized in profit or loss in accordance with IFRS Standards. IAS 1 allows an entity to present a single combined statement of profit and loss and other comprehensive income or two separate statements,
- a statement of changes in equity for the period,
- a statement of cash flows for the period,
- notes, comprising a summary of significant accounting policies and other explanatory information, and
- a statement of financial position as at the beginning of the preceding comparative period when an entity applies an accounting policy retrospectively or makes a retrospective restatement of items in its financial statements, or when it reclassifies items in its financial statements.⁵

⁴ (Deloitte)

⁵ (IASB, 2001; IASB, 2024)

Key principles are also further detailed such as, form fair presentation, going concern, accrual accounting, consistency of presentation, materiality and the prohibition of offset, to improve transparency and reliability. Even though IAS 1 is a standard applicable for a long time and includes a vast number of regulations; it did not have detailed requirements on classification of income and expenses in the statement of profit and loss such as operating, financing and investing, presentation of subtotals before the net income or profit and loss, limitation of comparability across companies of non-GAAP metrics and aggregation and disaggregation of information presented in the primary financial statements or disclosed in the notes which all will be discussed further in the next chapter.

2.2.2 IFRS 7: Financial Instruments Disclosures

IFRS 7 is the other component of financial disclosure standard which requires entities to provide disclosures about financial instruments in their financial statements⁶ that enable users to assess the importance of the financial instruments for the entity's financial health and to be able to understand the nature and extent of the risks arising from these instruments to which company is exposed. Furthermore, the qualitative disclosures discuss the management objectives, policies and procedures related to the risk. On the other hand, the quantitative disclosures describe how the entity is exposed to risk and summarize the amounts recognised in the statement of financial position and the income statement on the date of the statement of financial position, with a distinction being made between risk exposures and risk amounts disclosed to managing directors internally -a responsibility of the entity's governance arrangements. When it is written together, these disclosures should give a clear idea of how the entity uses financial instruments and manages risks that arise from those methods.

2.3 Shortcomings of Current Disclosure Frameworks

Although current disclosure standards are created through cumulative perspective and cover broad areas, they still have shortcomings because of the fast changing needs and the perception of the stakeholders of the companies. Since the financial markets are dynamic and evolving, the expectations of the users of financial statements want that these standards continuously adapt to remain relevant. Unfortunately, usually regulatory change cannot keep up the pace of the dynamic nature of the market. This situation creates a gap in the effectiveness of these standards. Besides, in the business environment there are many industries and business models, so one-size-fits-all approach is not the optimal one. Instead, stakeholders seek more tailored and industry-specific approaches to be able to understand a company's financial health

⁶ (IASB, 2005)

and performance. This gap between existing good practices and stakeholder needs underscores the importance of a continuous review and upgrading of financial disclosure frameworks.

2.3.1 Subtotals in the Statement of Profit or Loss

One of the biggest challenges is that there are no standardized subtotals in the current income statements. Current standards allow to present companies' subtotals that are not standardized strictly, as they should be. This might cause inconsistencies, unreliability and less comparability across different companies. Besides, problems might arise due to different interpretations and margin applications on the subtotals. As such, these fluctuations impede stakeholders from understanding how the company performs operationally and therefore make rational decisions.

Another challenge related to presenting subtotals without IFRS's guidance is the opportunity for companies to find little room to manipulate the data in their favor. However, this data is biased and will give stakeholders incomplete information about the real financial situation of the company. Furthermore, there is no clarity on how the subtotals should be calculated and presented; this can result in material differences in the way numbers are reported which creates additional complexity for the parties who compare financial results between different entities.

2.3.2 Aggregation and Disaggregation

Aggregation and disaggregation is used in financial statements to describe how the information is presented; either by collecting them in one line or separate them through many lines. First term, aggregation, refers to the process of putting together all the relevant financial data into a single line and the second term, disaggregation, is the opposite of the first term which refers to breaking down aggregated financial data into more detailed lines. These processes can be used to either aggregate or disaggregate on revenue, expense or balance sheets items. Although disaggregation of all the financial data looks more charming in the first place, aggregated data is providing a clearer and summarized version of the data and helps investors not to drown in too much financial data. Therefore, it can be concluded that both processes have shortcomings due to their nature. On the table below, the shortcomings of both processes can be seen:

Shortcomings of Aggregation	Shortcomings of Disaggregation
Missing important details	Excess Information
Less Transparent	Complexity
Oversimplification	Higher Cost for Companies
Not Enough Detail	Exposing Delicate Information

Table 1 : Shortcomings of Grouping Information (Own Presentation)

To conclude, potential drawbacks can be overcome by balancing these processes by providing enough but not more information, improving the accountability and transparency, meeting specific stakeholders needs and demonstrating cost-effective reporting. Ultimately, the main purpose is to be able to balance these processes.

2.3.3 Usage of Non-GAAP Measures

Management-defined performance measures (MPMs), non-GAAP financial measures or alternative performance measures (APMs) are defined and reported by management of a company.⁷ These metrics are utilized by investors to determine the company's operating performance outside of what is captured by the standardized accounting principles (GAAP or IFRS). MPMs are designed specifically to capture management's view of the key performance drivers of their business and can be very different from one company or industry to another one. Although these metrics are useful to determine companies' current situation, it also presents a couple of issues to the stakeholders. The main concern is the lack of standardization of these MPMs because they can be quite different from one another, since there is no standard framework that must be adhered to, which makes it hard for the investors to compare performance across firms or industries. Furthermore, if not adequately controlled for, management could apply these measurements to paint an overly rosy picture of its own effectiveness by highlighting anything positive they can find, while ignoring the negative results. This could reduce the credibility of the reports and investor confidence. Another concern is the lack of historical consistency of the metrics. If the company changes the components of the MPMs over time in favor of the company, this creates an inconsistency and makes it difficult for the investors to track how the company's financials are evolving through multiple periods. Without a consistent historical basis, stakeholders may struggle to form a clear and accurate picture of a company's long term financial health and operational effectiveness.

In conclusion, even though current standards, IAS 1 and IFRS 7 were created through long processes and have cumulative historical background, they are not without their drawbacks. Especially, subtotals in the statement of profit or loss, the balance between aggregation and disaggregation, and the use of non-GAAP measures are areas that indicate the need for further evolution of the frameworks in order to meet the ever-evolving needs and perceptions of stakeholders. These issues need to be addressed if financial disclosures are to exhibit the desired qualities of transparency, comparability and reliability. Lastly, it can be said that this lack of detailed requirements leads to diversity in practice. Companies define their own

⁷ (PWC, 2024)

subtotals and performance measures and group items in their own ways. Investors said that this diversity makes it difficult to analyze and compare companies' performance.

3. Upcoming Standard: IFRS 18

3.1 Overview of IFRS 18

3.1.1 Brief Introduction to IFRS 18

IFRS 18, the new standard, essentially is the replacement of IAS 1 with limited changes, issued by IASB in 2024 and introduces more detailed and concise requirements for the classification, presentation and the disclosure of the financial information.⁸ With these changes and improvements, IFRS 18 will enable companies to tell their story in their financial statements in a more reliable and transparent way.

The main goal of the new standard is to improve the comparability, consistency and the transparency of financial statements, besides that it aims to minimize divergence and subjectivity in financial reporting by providing specific and clear guidelines on how to present financial performance. This will make investors, analysts and other stakeholders get more clarity on the companies' financial health and its performance. To be able to achieve above mentioned features IASB implemented couple of major and minor changes:⁹

Relatively Major Changes	Relatively Minor Changes
Classification of Income and Expenses	Changing the Starting Point for Determining Cash Flows from Operations under Indirect Method
New Subtotals in the Income Statement	Optionality around Classification of Cash Flows from Dividends and Interest in Statement of Cash Flow Removed
Disclosure of MPMS	
Improved Aggregation and Disaggregation Requirements	

Table 2 : Major and Minor Changes (Own Presentation)

3.1.2 Importance and the Need of the New Standard

Due to the complex and dynamic nature of the financial markets, it is hard for the investors to adapt to these dynamics. It is even harder if the most important source of information, financial statements mislead or even manipulates them. Therefore, investors demand a financial disclosure framework that provides standardized and comparable subtotals. This can help investors to have a clearer and more accurate understanding of a company's health

⁸ (Ernst&Young, 2024)

⁹ (IASB, April 2024)

and performance. To be specific, investors are looking for more detailed and precise information on revenue, expense and balance sheet item lines to make efficient decisions.

Standardized subtotals help to increase the comparability for investors. Today, many companies show an operating profit or loss subtotal that is determined differently across industries or even similar companies. Investors find it very difficult to compare financial performance of companies accurately due to the various reporting practices in place. IFRS 18 aims to eliminate these different approaches and ensure that the reported calculation and grouping methods are consistent across companies regulated under IFRS.

In addition to improving comparability, IFRS 18 also will play an important role in gaining investors' trust by ensuring that financial statements are more standardized and transparent in comparison to previous years. Besides, it is helping to reduce the risk of potential misstatements or manipulation by promoting a more stable and reliable reporting environment.

In summary, IFRS 18 will enable companies to communicate the information that investors value more effectively and consistently through addressing shortcomings of previous standard, IAS 1, adapting business practices and improving the transparency and comparability of financial statements. By providing new key requirements and changes, which will be discussed in the next chapter, IFRS 18 is a big step for ensuring that financial statements remain relevant and reliable in an increasingly complex and globalized business environment.

3.1.3 Brief History of IFRS 18 & Implementation Timeline

Strong demand among stakeholders led IASB to discuss the project at the beginning of the second quarter in 2016.¹⁰ In May 2019, the board decided that the next document will be an exposure draft, not a discussion paper. The IASB engaged in substantial research, consultations and exposure drafts during the development phase in order to seek input from all stakeholders ranging from auditors to the investors. The goal was to develop standards that met the needs of all constituents in the financial reporting supply chain, from companies and auditors to the users of financial information. IFRS 18 was issued by the IASB in April 2024 under the heading of "Presentation and Disclosure in Financial Statements" and replaced IAS 1. Main idea of the board was basically to focus on classification of income and expenses, implementing stricter non-GAAP metric, aggregation and disaggregation, subtotal requirements and lastly minor changes in IAS 7, not to review every aspect of IAS 1.¹¹

IFRS will be effective for annual reporting periods beginning on January 1, 2027. Companies must apply the standard retrospectively, which means all the previous years' data

¹⁰ (IASB, April 2024)

¹¹ (IASB, April 2024) (Deloitte, 2024)

are relevant. Also, early application in IFRS 18 is permitted, allowing companies to adopt the new standards before 2027 if they prefer to do so. This application creates a flexibility for the companies to be able to understand and implement the requirements of the new standard.¹²

Overall, the implementation of IFRS 18 is an approximately 3 years process that marks an important step towards improving quality of reporting, thereby better serving the needs of stakeholders.

3.2 New Key Requirements and Changes

New standards will bring new key requirements and changes of how the financial information is disclosed through five different implementations, which will be discussed in this section.

First two changes, Classification of Income and Expenses and New Subtotals in the Financial Statement, and the other minor changes that come with IFRS 18 impact the primary financial statements, and provide useful structured summaries of the company's assets, liabilities, equity, income, expenses and cash flows. These implementations will show limited changes to specific requirements for statement of cash flows and balance sheet, but substantial changes in income statement. There will be no change in specific requirements for Statement of Comprehensive Income and Changes in Equity.

The third change, Disclosure of MPMs, impacts only the notes to the financial statements which are clearly linked to the primary financial statements and provides material information to support the primary financial statements.

Lastly, the fourth change, Improved Aggregation and Disaggregation Requirements, is applicable for primary financial statements and the notes. Through these new requirements and changes, IFRS 18 aims to improve communication in the financial statements.

3.2.1 Classification of Income and Expenses

Previously IFRS was classifying the items in the income statement into only two different categories: Income Taxes and Discontinued Operations,¹³ but with the new standard, the classification has been expanded to provide a more structured and detailed income statement. The newly introduced categories are similar with the ones in cash flow statements: Financing, Investing and Operating.

Before mentioning these three categories, it must be highlighted that an entity will need to assess whether it has a specified main business activity of investing in assets or providing finance to customers, as there are specific requirements for such entities.

¹² (KPMG, 2024)

¹³ (Ernst&Young, 2024)

Starting with the financing category, it includes all income and expenses from liabilities that involve raising of finance such as bank borrowings or own equity or the discharge of a liability and interest expense and the effects of changes in interest rates from other liabilities such as interest expense on bonds issued.¹⁴ A more transparent and specific view of a company is achieved by separating this financing income and expenses from other categories under IFRS 18. This also helps users of financial statements to evaluate the respective company's financial leverage effects and the cost of its debt in a better way.

Second category mentioned by IASB is investing activities. This one typically includes income or expenses of investments of associates, joint ventures and unconsolidated subsidiaries, cash and cash equivalents and assets that generate a return individually and largely independently of other resources such as rental income from investment properties.¹⁵ Isolating these investing related items helps users to distinguish income or expenses from investing activities from the core operations of the company and allows users to see the effect of investment activities to the overall financial performance of the company. With this classification, most importantly "Share of profit or loss of equity-accounted investors" will no longer be presented as a part of operating profit, which leads investors to see pure operational efficiency on the financial statements.

Last and the most important part is the operational category. Although it is not defined by IFRS 18, it is essentially intended to capture income and expenses from the company's main business activities. The aim for this classification is to cover the company's business operations and operational performance. With this classification, the new standard ensures that users of the financial statements can clearly understand the difference of non-operational and operational impact on the finance side. It also helps to understand the recurring income and expenses which is the main core of the company's business. However, since this category is not defined by IFRS 18, it is seen as a residual category that means that it will comprise all income and expenses not included within the other categories even if this income and expenses are unusual or volatile.

Before conclusion, an important distinction must be made by classifying these three different activities. The classification of income and expenses varies depending on a company's main business activities. For example, since investing in assets for a real estate company is their main business activity, gains/losses on investment property is considered as operating activities, on the other hand manufacturers consider this as an investing activity. Another example of this

¹⁴ (KPMG, 2024)

¹⁵ (Ernst&Young, 2024)

exception can be banks, which provide finance to customers. As the interest expense on borrowing is their main business activity, it is considered as operating activity, but a regular company which sells goods considers interest expenses on borrowings as a financing activity.

¹⁶Image below shows that different companies can classify the same income or expense type differently.

	Manufacturer A 	Manufacturer B 	Bank 	Real estate 
Main business activities	Manufacturing and sales of goods	Manufacturing and sales of goods and providing finance to customers	Providing finance to customers	Investing in assets
Interest expenses on borrowings	Financing	Operating* and choice between operating and financing**	Operating* and choice between operating and financing**	Financing
Gains/losses on investment property	Investing	Investing	Investing	Operating

* Includes all interest expenses from borrowings that relate to providing financing to customers.

** An accounting policy choice applies to interest expense from borrowings that do not relate to providing financing to customers.

Figure 1: Companies with different Main Business Activities¹⁷

In summary, by implementing the new standard, the clarity, comparability and the usefulness of the income statement will be enhanced. That will lead stakeholders to gain deeper insights into companies' true performance and help them to make more efficient decisions.

3.2.2 New Subtotals in the Financial Statement

Besides the classification of the Income and Expenses, one of the other major changes in the income statement is the new subtotals in the financial statement. With IFRS 18, two new subtotals were introduced to improve the structure and comparability of financial statements across companies. These two subtotals are "Operating Profit" and "Profit before Financing and Income Taxes".¹⁸

Operating Profit is an image of the profit generated from a company's main business activities excluding income and expenses classified under investing and financing activities. It is an important amount as it isolates the core operational performance from other activities,

¹⁶ (IASB, April 2024)

¹⁷ (KPMG, 2024)

¹⁸ (IASB, 2024)

providing a clear view into the company's operational efficiency. In addition, it helps investors to evaluate whether this company can survive without the influence of financial structuring or investment profits.

On the other hand, another new subtotal IFRS brings in our lives is the profit before financing and income taxes. As the name suggests, this subtotal includes operating profit and add investing activities while excluding financing activities and income taxes. It helps investors to build a comprehensive view of the company's performance before the impact of financing activities and income taxes, which may change country by country. Besides that, investors can compare the companies by their operational and financing efficiency rather than investing activities and arbitrarily decided tax rate of the governments.

Finally, all companies should be careful about the structure of their income statement in relation to the three new categories, as new subtotals will be required by the new standard. Even though most entities already present an operating profit or loss subtotal, the current classification of income and expenses in this category might not be the same as required under the new standard.

3.2.3 Disclosure of the Management Performance Measures

Before the new standard, companies usually present metrics to be able to communicate better with the investors, to track performance and provide useful insights into a company's performance commonly known as "non-GAAP metrics" or "Alternative Performance Measure". Adjusted EBITDA, operating profit, free cash flow, return on equity, number of customers, customer satisfaction can be examples of these definitions. Since these metrics are out of the scope of traditional financial statements, inconsistencies and lack of standardization across different industries, even similar industries and companies can occur. To be able to address these issues, IFRS 18 introduced comprehensive requirements for the disclosure of the MPMs that will ensure better transparency and consistency in financial statements. With the standard now, MPMs are required to be included in the financial statements and they will be subject to audit.

Although the number of these metrics are plenty and vary substantially from one company or industry to another, IFRS 18 introduced a narrow definition for the disclosure of MPMs. This definition makes the MPMs a subset of alternative performance measures.

The table below will be helpful to understand which measures must be included in MPMs and which measures must be excluded from MPMs.

Metrics with these features must be included in MPMs:	Metrics with this feature must be excluded from MPMs:
Subtotal of income and expenses	Non-financial performance measures such as number of customers or customer satisfaction
Used in public communications outside financial statements	Financial performance measures that are not subtotals of income and expenses such as free cash flow or return on equity
Not listed in any IFRS accounting standards	Totals/subtotals specified in IFRS such as gross profit or operating profit
Examples can be Adjusted Profit, Adjusted Operating Profit or Adjusted EBIT	Examples can be free cash flow, return on equity or operating profit

Table 3: MPM Criterias(Own Presentation)

To understand better which metrics must be identified as MPMs, flow chart below can be helpful.

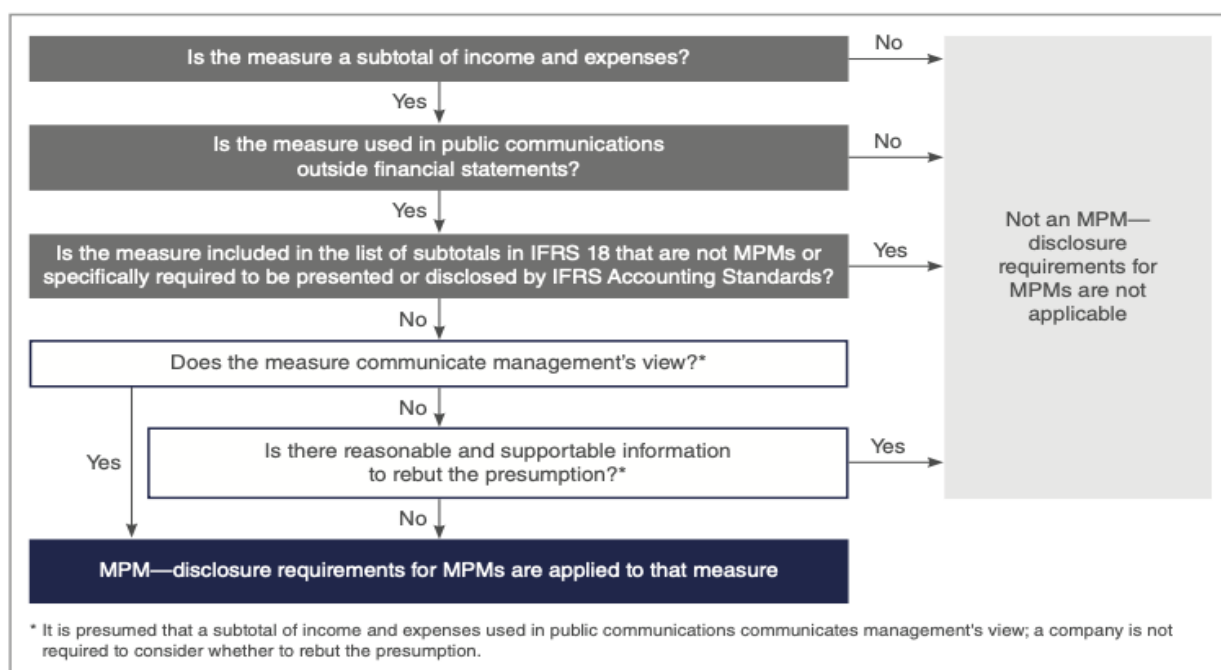


Figure 2: Application scheme for MPMs¹⁹

After understanding what the requirements of MPMs are, and how it is identified, now it is discussed how these MPMs are disclosed. IFRS 18 requires companies to disclose

¹⁹ (IASB, April 2024)

information about their MPMs in a single note to the financial statements and lists several disclosures to be made. The notes each MPM must include are:

- a description of how the MPM is calculated,
- a statement of MPM provides management's view of the company's financial performance and explanation why the MPM provides useful information,
- an explanation of any changes such as changes to calculations or any new MPMs,
- description of how the company determined the income tax effect,
- a reconciliation between the MPM and the most directly comparable subtotal listed in IFRS 18 or total or subtotal required by IFRS accounting standards.²⁰

In summary, IFRS 18 provides alternative performance measures as a solution for the inconsistencies and lack of standardization by introducing a new definition and comprehensive disclosure requirements for newly introduced MPMs. These metrics must be included in the financial statement and are subject to audit. Also, by defining MPMs narrowly IFRS 18 creates a new subset in the alternative performance measures. The disclosures required by the new standard ensures that users of financial statements receive comparable, transparent and detailed information of the measures used by management. Ultimately, this leads to improved quality and reliability of financial reporting.

3.2.4 Improved Grouping of Information Requirements

Grouping of information, also known as aggregation and disaggregation, has an effect on both components of the financial statements; primary financial statements and notes.

IFRS 18 mandates that companies aggregate or disaggregate information about individual transactions and other events to ensure that the information presented in the primary financial statements and disclosed in the notes are useful and accurate. With this new standard, companies will be enhancing guidance on grouping information in the financial statements by ensuring that:

- items are aggregated based on similar characteristics such as nature, function, size, geography,
- items are disaggregated based on characteristics that are not shared,
- items are grouped such that the primary financial statements and the notes fulfill their roles,
- items aggregated together is not include material information alone,

²⁰ (IASB, April 2024)

- the companies are discouraged to label items as “other” and do not aggregated items into large amounts.²¹

Goal of the IASB is to disaggregate all the possible items as long as it is feasible and reasonable to do so.

With this new implementation, IFRS 18 also requires companies to classify and present operating expenses on the face of the income statement rather than permitting to disclose only in the notes. Basically, this presentation of operating expenses can be done in three different ways:

1. By nature: expense types are distinguished and clearly stated in the income statement
2. By function: expense types are not presented instead only the final amounts can be seen on the income statement
3. Mixed: some expense types are disclosed but not all

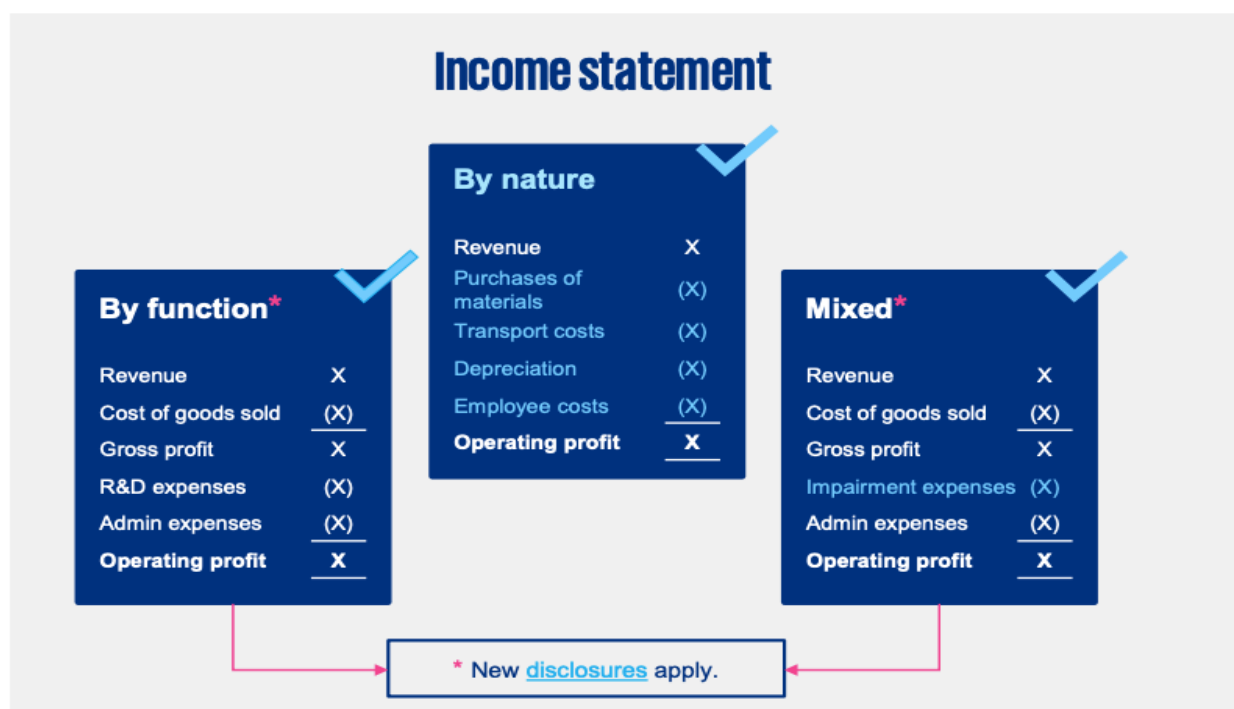


Figure 3: Expense Disclosure Types²²

A company must present operating expenses in a way that provides the most useful structured summary of its expenses. Therefore, a company might classify some operating expenses by function and others by nature if doing like this is providing the most useful structured summary. Since the IAS 1 provides limited guidance on how to present operating expenses due to flexibility of choosing the presentation of operating expenses, either by nature, function or mixed, a judgment area is created for companies. In order to prevent the misuse of

²¹ (IASB, 2024)

²² (KPMG, 2024)

this, IFRS 18 starts to require companies that currently do not disclose information about expenses by nature included in each line item in the operating category to be required to do so. The expenses required to be disclosed are:²³

- depreciation and amortization
- employee benefits
- impairment loss and reversals
- write-downs and reversals

As a consequence of stricter disclosing requirements, companies will provide more detailed information about their operating expenses than currently presented under IAS 1.

3.2.5 Other Minor Changes Come with IFRS 18

There are a couple of minor changes that comes with the new standard. Starting with a cash flow statement, indirect and direct methods are two common methods used to present net cash flow of the company. Direct method is presenting the net cash flow by writing down every cash activity and calculating the net value. On the other hand, the indirect method is reaching the net cash flow by adjusting net income with cash activities. However, the IFRS board has decided that the new starting point of the indirect method will be operating income instead of net income, which changes the presentation of net cash flow significantly.

Another change that affects cash flow statement is the classification of interest and dividend cash flows. In the table below, it can be seen what the changes that affect cash flow statements are.

Cash flow item	Classification before amendments to IAS 7	Classification after amendments to IAS 7	
		Companies with no specified main business activities	Companies with specified main business activities
Interest received	Operating or investing	Investing	A single category for each item—operating, investing or financing
Interest paid	Operating or financing	Financing	
Dividends received	Operating or investing	Investing	
Dividends paid	Operating or financing	Financing	Financing

Figure 4: Classification of Interest and Dividends on Cash Flow Statement²⁴

Other minor changes show themselves in the balance sheet. Goodwill, -which is the excess portion of the purchase price of an intangible asset that is higher than the sum of the net

²³ (Deloitte, 2024)

²⁴ (IASB, April 2024)

fair value of this asset purchased in the acquisitions- is presented as a new line item on the face of the balance sheet with the new standard.

3.3 Possible Impacts and Costs of the IFRS 18 on Financial Statements and Notes

Creating new standards can be challenging for the involved parties, the ones creating the standard, companies, stakeholders of the companies, and the implementation for this standard might be even more challenging. The introduction of IFRS 18 is no exception, bringing both benefits and costs to the financial reporting landscape.

3.3.1 Benefits of the New Standard on Financial Statements and Notes

As it is expected, the new standard offers several important benefits targeting better quality and utility of financial statements that are manipulation free. These benefits will be, providing more useful information about the respective companies' financial performance, enhancing the comparability across different companies and industries and lastly a more transparent view.

First of all, one of the biggest benefits that IFRS 18 brings is to provide more useful information about the financial performance of the company. Before the new standard, some of the investors were complaining about the variety of structure and the content of the income statement and said that this situation made it difficult to evaluate the performance of the company. Also most of the investors, who responded to a survey made by CFA Institute, demanded from the regulators to define specific important subtotals for the companies to present in the primary financial statements. By providing specific definitions for the new subtotals, operating profit and profit before financing and income taxes, IFRS 18 responded to the demand of the investors.²⁵

On the other hand, by discouraging companies from labeling "others" in the financial statements, IASB expects that this will lead companies to use more informative and detailed labels and therefore provide more explanation regarding items in the "others" label. Moreover, with the requirements of the disclosure of five specified expenses by nature, it can be expected that additional useful information will be provided to investors.

Secondly, with the new standard IASB believes that comparability across the companies will be enhanced.²⁶ Since the IAS 1 has no specific definitions for the subtotals presented in the income statement, companies created their own definitions for those. This situation causes

²⁵ (IASB, April 2024)

²⁶ (IASB, April 2024)

investors to be concerned about the comparability of these metrics. Therefore, IFRS stepped out and brought a complete and precise definition for the subtotals. Besides, since IAS 1 lacks specific requirements for the classification of income and expenses, this has led to diversity in financial reporting practices. This inconsistency has become a major concern for investors, as it reduces the comparability of financial statements across different companies. As a proof, according to IASB's analysis of 100 companies, the diversification of the classification of foreign exchange differences, which is only one item in the income statement, can be observed. IFRS 18 addresses this issue by introducing new requirements for consistent classification of income and expenses.²⁷

	Number of companies
Classified above an operating profit (or EBIT/EBITDA) subtotal	12
Classified below an operating profit (or EBIT/EBITDA) subtotal	33
Classified both above and below an operating profit (or EBIT/EBITDA) subtotal	16
Classification unclear	13
Did not present a subtotal labelled operating profit (or EBIT/EBITDA)	26
Total	100

Figure 5: Classification of Foreign Exchange Differences across Companies²⁸

On the cash flow statement side, investors are concerned about the classification and presentation options that make the comparison between different companies' cash flows difficult. According to another IASB's research, companies use different starting points for the indirect method of reporting cash flows from operating activities in the statement of the cash flow. 47% of the companies start with net profit or loss, 45% with profit before tax, 7% with the operating profit and the last 1% is the EBITDA.²⁹ This diversification causes investors to spend more time than it should be to find the same metric for the comparable companies. IFRS 18 also addressed this issue and required that the calculation of operating cash flow with an indirect method consider operating profit as a starting point.

Before the new standard, companies were disclosing unclear alternative performance measures in the notes to the financial statements and sometimes it was not disclosed how and why the calculation of these metrics has been changed since the last reporting period. However, with the new standard, explanation regarding the calculation method and changes of the MPMs will be compulsory for the companies. With all these implementations, IASB aims to enhance comparability across the companies and industries.

²⁷ (IASB, April 2024)

²⁸ (IASB, April 2024)

²⁹ (IASB, April 2024)

IFRS 18 significantly enhances the transparency of financial statements. The new standard mandates full disclosures on MPMs in a single note to the financial statements. This requirement will ensure that all of the important details of these performance measures, such as the method of its calculation, why it is important and how they reconcile to the most directly comparable IFRS measure, will be available to investors. Such a broad disclosure helps investors to understand the context and assumptions behind management's performance assessments, leading to a more informed evaluation of a company's financial health and performance.

Furthermore, the requirement to disclose specified expenses by nature, such as depreciation, amortization, employee benefits, impairment losses and reversals, and write-downs and reversals, ensures that investors receive a detailed breakdown of these key expenses. With the help of enhancing transparency, investors perform more comprehensive analyses and gain a deeper understanding of the company's financials.

In summary, IFRS 18 brings several key benefits to financial statements and notes, including the provision of more useful information about financial performance, enhanced comparability across companies, and increased transparency through detailed disclosures and clear presentation requirements. These improvements collectively contribute to higher quality, more reliable financial reporting, enabling investors and other stakeholders to make better-informed decisions and fostering greater confidence in the financial markets.

3.3.2 Costs of the New Standard on Financial Statements and Notes

Although the new standard brings many benefits along, there are of course drawbacks related to implementation of this standard. These drawbacks reflect itself as cost for the companies and the stakeholders.

Starting with costs for companies, the IASB expects that all companies will incur some implementation costs, possibly some ongoing costs. These costs might vary from one company to another, depending on the company's current systems and reporting practices. Companies with reporting practices similar to IFRS 18 requirements or those with existing systems capable of providing the necessary information may incur lower costs. On the other hand, the companies that do not have capable systems for the transition through the new standard will have to invest in system upgrades or new software.

To be able to implement new standards first it needs to be understood. An extensive training for the internal staff is a necessity in order to implement this standard correctly. If this kind of training is not feasible for the company, consulting or advisory services must assist the

company. All of the solutions mentioned create a cost for the company to implement new standard.

On the other hand, every new standard brings new complexity and risks along with themselves. There will be a need for judgment or interpretation of the new standard that might lead to inconsistencies and the potential for errors, especially during the first implementation phase. To be able to prevent these kinds of errors, companies must increase their audit and regulatory operations, which creates an additional cost for the company.

To be specific, in this case with the new standard IFRS 18, implementation costs may arise with the followings:

- Additional effort of classifying income and expenses,
- Disclose specified expenses by nature,
- Implement the changes in the cash flow statement,
- Identifying which APMs are considered as MPMs and provision of disclosures for them,
- To check if the requirements the grouping of information of the new standard are met ³⁰

To be able to provide these changes some of the companies will need to change their internal processes and adapt their accounting systems to comply with the requirements. A fieldwork of the IASB shows that about 40% of the participating companies indicated that they might need to change their systems or internal processes to meet the proposed requirements for the classification of foreign exchange differences.

While most of the costs are related to one-time implementation costs, there might also be ongoing costs for the companies to incur, especially if there is a significant change in the business operations. Then the company may be required to exercise judgment on whether such changes affect their classification of income and expenses, MPMs and the presentation of line items and subtotals in financial statements. Companies, therefore, will incur costs for the ongoing education of not only the staff about the new standard but also the executives due to change in the important key performance indicators. Except internal education, companies need to communicate with external parties constantly, due to the necessity of explanation of the variations in the income statement, MPMs or in the cash flow statement. This will incur an ongoing cost for the company.

The IASB expects that the costs for investors will arise mostly from adjusting their models and methods of analysis to the new structure.³¹ Besides, this new standard must be

³⁰ (IASB, April 2024)

³¹ (IASB, April 2024)

understood by the stakeholders to be able to adapt their strategies. This creates an adoption process, which will be discussed further in the next chapter.

To summarize, while IFRS 18 brings significant benefits to financial reporting, it also imposes various costs and challenges on companies and stakeholders. Companies must invest in system upgrades, staff training and consulting services whilst coping with enhanced and additional reporting and audit burdens. Meanwhile stakeholders must adjust to the new standard and update their models, while dealing with the transitional mismatch of financial reporting. However, these short-term challenges are expected to be offset by the long-term rewards from increased transparency, comparability and reliability in financial statements.

3.4 Adoption and Transition Challenges

3.4.1 Adoption of IFRS 18

IFRS 18 was published on 9 April 2024, and the amendments to the other standards will be effective from reporting periods beginning on or after 1 January 2027, but earlier implementation is permitted and must be disclosed. With that, companies are encouraged to adopt the standard earlier than the deadline. Early adoption may enable companies to better align with the new requirements in advance of the mandatory effective date, and thereby provide stakeholders more timely and comparable financial information. However, early adopters must ensure that their financial statements fully comply with all aspects of IFRS 18 and the related amendments to other standards.

3.4.2 Transition Challenges of IFRS 18

Although this new standard has a positive effect for all the involving parties, companies need time to adopt effectively and according to feedbacks of the companies to IASB, they need at least two years transition time due to:

- the need to change accounting and IT systems,
- the requirement to apply the proposals retrospectively,
- the time needed to discuss the requirements with auditors and regulatory bodies,
- the time needed to prepare for other reporting requirements, such as the IFRS Sustainability Disclosure Standards.³²

In addition, it is proposed in the exposure draft, that a company is required to apply IFRS 18 retrospectively, with the consideration of past events. This might create transitional challenges during the process because it would require a company to gather historical data,

³² (IASB, April 2024)

reclassifying items and recalculating subtotals according to new requirements. This process can be challenging for the companies with the extensive financial histories.

As a conclusion, the adoption and transition process of the new standard IFRS 18 will require significant effort and resources for the companies. By addressing the challenges mentioned above, companies can pass this process in a smooth way.

4. Case Studies and Conclusion

This part will be explaining how the potential adoption to the significant changes that IFRS 18 brings to the financial statements can be understood with exemplary practical applications.

The major changes include:

- Income Statement: Introduction of new key subtotals, changes in the classification of income and expenses,
- Cash Flow Statement: New starting point for the calculation of operating cash flow and new classification of types of cash flows,
- Notes to the Financial Statements: Newly defined MPMs

4.1 Case Study: Exemplary Practical Application of IFRS 18

In this section, significant changes in IFRS 18 will be explained further with the real life or theoretical examples. These exemplary practical applications will demonstrate how the new standard affects the presentation and disclosure of financial information. By further examining the adjustments made to the income statement, cash flow statement and notes to financial statements, comprehensive understanding of the real life applications of IFRS 18 can be gained. Furthermore, the possible benefits or drawbacks can be observed through the examples.

4.1.1 Income Statement

Two main changes in the income statement with the implementation of IFRS 18 will be the new subtotals and the classification of the income and expenses. Mercedes-Benz Group AG is a German multinational automotive corporation headquartered in Stuttgart, Baden-Württemberg, Germany. It is one of the world's leading car manufacturers. Below image is the presentation of the income statement of this company from 2022. Since the previous standard, IAS 1, was not requiring classifying income and expenses into categories and present subtotals such as operating profit or profit before financing and income taxes, the income statement of the company does not include this additional information.

	Note	2022	2021
In millions of euros			
Revenue	(13)	1,422	1,488
Cost of sales	(14)	-1,407	-1,470
Gross profit		15	18
General administrative expenses	(14)	-752	-1,237
Other operating income	(15)	359	241
Other operating expense	(16)	-66	-100
Income/expense from investments in subsidiaries and associated companies, net	(17)	12,495	11,840
Interest income/expense, net	(18)	-277	-453
Other financial income/expense, net	(19)	-433	-116
Income taxes	(20)	-2,464	-655
Profit after taxes	(21)	8,877	9,538
Offset against other retained earnings		-	13,879
Asset reduction due to spin-off		-	-13,879
Transfer to other retained earnings		-3,314	-4,189
Distributable profit		5,563	5,349

Figure 6: Income Statement of Mercedes-Benz Group AG 2022

On the other hand, after the adjustment with the IFRS, a new income statement, which is provided below, is created to illustrate what might be the possible effects and interpretation can be made.

Items or Subtotal	Dec 31, 2022 in M€	Classification of Income and Expenses	Explanation
Revenue	1,422	Operating	
Cost of sales	-1,407	Operating	
Gross Profit	15	-	IFRS 18 does not mandate
General administrative expenses	-752	Operating	
Other operating income	359	Operating	
Other operating expense	-66	Operating	
Operating Profit	-444	-	New mandatory subtotal
Income from investments in subsidiaries and associated companies	12,495	Investing	
Profit Before Financing and Income Taxes	12,051	-	New mandatory subtotal

Interest expense	-277	Financing	
Other financial expense	-433	Financing	
Profit Before Income Taxes	11,341	-	Total already required by IAS 1
Income taxes	-2,464	Income Tax	
Profit After Taxes	8,877		Total already required by IAS 1
Offset against other retained earnings	-	-	
Asset reduction due to spin-off	-	-	
Transfer to other retained earnings	-3,314	-	
Distributable Profit	5,563	-	Total already required by IAS 1

Table 4: Income Statement of Mercedes-Benz AG Group 2022 with IFRS 18 Implementation (Own Presentation)

First, the introduction of new subtotals provides a more transparent picture of the company's core operational performance and financial health. Before this standard, these subtotals were not a requirement for the companies under IAS 1, which led companies to hide their operational inefficiency with the financing or investing solutions. This caused investors to have misconceptions about companies. By mandating these subtotals, IASB helps investors to feel more confident about their decisions.

One of the new subtotals, operating profit, which is now a mandatory subtotal, mainly focuses on the results from the company's main business activities, excluding the effects of investing and financing. In the income statement of the Mercedes-Benz Group AG, it can be seen that in the year 2022, 8,877 millions of euros profit after tax is reported. Although it seems that the company was successful, a closer examination of the newly required subtotals provides a clearer picture of the company's core operational performance. In 2022, the newly introduced subtotal, operating profit, was 444 millions of euros loss, meaning that the Group suffered a loss in the core operations that year. This loss was covered by far with significant income from investment in subsidiaries and associated companies, which is 12,495 millions of euros. On the other hand, another newly introduced subtotal, profit before financing and income taxes, shows a strong and healthy figure of 12,051 millions of euros profit. These conclusions suggest that despite all the overall profitability driven by investment income, Mercedes-Benz Group AG faces challenges in its core operations that need to be addressed.

Additionally, classification of income and expenses into three new categories, operating, financing and investing, provides a more structured view and further insights. It can be deduced that, in 2022 the company managed to make profit only in the investing category, 12,051 million

euros. In the other categories, operating and financing, losses of 444 and 710 million euros are incurred. This separation highlights the costs associated with the company's financing strategies, allowing stakeholders to understand their impact on the overall financial performance.

To summarize, both the implementation of new subtotals and classifying income and expenses reveal much more detail and transparency of the view of company's financial performance. While the headline figure of € 8,877 million profit after tax suggests success, the breakdown into operating profit and profit before financing and income taxes reveals underlying issues in the core operations. This detailed information supports more informed decision making by investors and other stakeholders, emphasizing the importance of addressing operational challenges to sustain long-term profitability.

4.1.2 Cash Flow Statement

In the cash flow statements, two new requirements were brought up by the IASB. The first one is the obligation of choosing the operating profit as a starting point for the indirect method and the other one is the option for classifying interests and dividend cash flows as operating activities have been eliminated. Below is a fictitious operating cash flow for the Company X. On the left side, the company is considering interest expense and interest income and dividends as an operating activity and considers profit before tax as a starting point. On the right side, respective adjustments with the IFRS 18 have been made and considers operating profit as a starting point and do not include neither interest nor the dividend activities in the operating cash flow statement.

Item	Company X (Before IFRS 18)	Company X (After IFRS 18)
Profit before tax	1,200	
Operating profit		1,180
Adjustments for:		
- Depreciation	150	100
-Amortization	(Not disclosed)	50
- Interest expense	50	(Not included)
- Interest income	-20	
Changes in working capital:		
- Increase in trade receivables	-100	-100
- Decrease in trade payables	-80	-80

- Increase in inventories	-120	-120
Other non-cash adjustments	30	30
Cash from operating activities before income taxes (not cash generated from operations)	1,110	1,060
Interest paid	-120	(Not included)
Income taxes paid	-300	-300
Dividend paid	-150	(Not included)
Net cash from operating activities	530	760

Table 5: Before-After IFRS 18 of Companies' Cash Flow Statement (Own Presentation)

Since the previous standard did not require a specific starting point for companies, they were choosing either profit before tax, profit after tax, EBIT, or operating profit as a starting point. With the new standard, it is required to choose operating profit as the starting point for the indirect method. This change ensures that the cash flow statement aligns more closely with the company's core operational performance, excluding the effects of financing and investing activities. On the left side, Company X took the profit before tax as a starting point, which could include elements of financing and investing activities that are irrelevant to the company's operations. This inclusion usually made it challenging to get a clear view of the cash flow generated from core business activities. By standardizing the use of operating profit, IASB wanted to highlight the importance of operational efficiency. In addition, with the exclusion of interest and dividend activities from the operating cash flows further refines the focus on the company's core operations. It can be also seen from the example, that although the starting point amounts are similar, exclusion of interest paid and dividend paid lead to significant changes in the last amount.

In the summary, the adjustments, which IFRS 18 brings, result in a more standardized and transparent presentation of cash flows. By taking operating profit as a starting point and excluding interest and dividend activities from the operating category, the cash flow statement now offers a clearer and more accurate depiction of the cash generated from the company's main business activities. These changes support better financial analysis and enhance the comparability of financial statements across different companies and industries.

4.1.3 Notes to the Financial Statements

One of the biggest changes comes with IFRS 18 is the new Management Performance Measures (MPMs). Previously it was named as either "non-GAAP metrics" or "Alternative Performance Measures". After IFRS 18, entities are required to disclose the following in a single note to the financial statements:

- Description of the MPMs and an explanation of why these MPMs provide useful perspective,
- Calculation method,
- A reconciliation to the most directly comparable total or subtotal specified by IFRS Accounting Standards (e.g. reconcile ‘adjusted operating profit’ to ‘operating profit’ as defined by IFRS 18 and explain the adjustments),
- The income tax effect and effect on non-controlling interest for each reconciling item disclosed as per above,
- Income tax determination,³³

Below is an example taken from the IASB’s presentation of how these disclosures should be made by companies.

Management-defined performance measures 20X2					(in thousands of CU)
	IFRS	Impairment losses	Restructuring expenses	Adjusting items Gains on disposal of property, plant and equipment	Management-defined performance measure
Other operating income		—	—	(1,800)	
Research and development expenses		1,600	—	—	
General and administrative expenses		—	3,800	—	
Goodwill impairment loss		4,500	—	—	
Operating profit / Adjusted operating profit	57,000	6,100	3,800	(1,800)	65,100
Income tax expense		—	(589)	297	
Profit from continuing operations / Adjusted profit from continuing operations	32,100	6,100	3,211	(1,503)	39,908
Profit attributable to non-controlling interests		305	161	—	
Impairment losses	Impairment losses incurred in 20X2 did not yield any tax benefits because they were not eligible for tax deductions in Country A and Country B.				
Restructuring expenses	The restructuring expenses in 20X2 are related to XYZ Group's restructuring programme 'Apollo 20X2'. These expenses include redundancy expenses, employee retraining expenses and relocation expenses, all related to the closure of several factories in Country C. The tax effect of these restructuring expenses is calculated based on the statutory tax rate applicable in Country C at the end of 20X2, which was 15.5%.				
Gains on disposal of property, plant and equipment	The tax effect of gains on disposal of property, plant and equipment is calculated based on the statutory tax rate applicable in Country D at the end of 20X2, which was 16.5%.				

Figure 7: Example of a Reconciliation of a MPM

From the illustration above, it can be seen how MPMs are derived from the actual total and what the adjustment items are. The table clearly outlines the reconciliation process, showing the adjustments made to reach the management-defined performance measures. Besides that, the income tax effect and effect on non-controlling interest for each reconciling item are disclosed. Lastly, it can be deduced that the tax effect of restructuring expenses is based on a 15.5% tax rate in Country C, and the tax effect of gains on disposal of property, plant, and equipment is based on a 16.5% tax rate in Country D.

³³ (IASB, April 2024)

As a conclusion, this comprehensive breakdown ensures that the adjusted measures provide a useful, transparent and consistent view of the company's performance. Therefore, helping stakeholders to interpret these values. The detailed disclosure requirements of IFRS 18 enhance the reliability and comparability of financial statements, addressing the previous inconsistencies associated with non-GAAP metrics.

4.2 Comprehensive Analysis of the Effects that IFRS 18 Brings

The implementation of the IFRS 18 brings several significant changes in financial reporting that have effects on the components of the financial statements such as income statement, cash flow statement, balance sheet and lastly the notes to the financial statements. Starting with the income statement, IFRS 18 enforced the introduction of mandatory subtotals and the new classification of income and expenses are two of its most significant changes. Recent compulsory subtotals like operating profit and profit before financing and income taxes have made financial statements more transparent. These subtotals are a better indicator of the true operating performance of the company because they separate the results of investing and financing activities from operational performance. This way, the stakeholders can have a more transparent and at least slightly understandable picture of a company's efficiency free of non-operational noise. Previous to the IFRS 18 implementation, companies presented income statements with diverse structures and classifications that resulted in inconsistencies when comparing the financial performance of companies in distinctive industries. This lack of standardization enabled some companies to cover up poor operational performance with investment or financing income, which could distort the financial health of the company. The IFRS 18 also enhances the comparability and transparency of financial statements by requiring the standardization, presentation and categorization of income and expenses into operating, financing and investing. Consequently, this promotes better decision making by stakeholders, and further mitigates the possibility that companies may attempt to obfuscate the underlying performance of their operations.

On the other hand, the cash flow statement is another part of the financial statement that is affected by the new standard, particularly concerning the starting point for the indirect method and the classification of interest and dividend activities. The standard now requires the use of operating profit as the starting point for the indirect method of calculating operating cash flow. This change ensures that the cash flow statement aligns more closely with a company's core operational activities, excluding the effects of financing and investing activities. Before the implementation of the standard, companies had a choice for the various starting points for the indirect method, which leads to non-standardized and incomparable results for the

stakeholders. Besides, giving an option for the companies to include interest and dividends as operating activity could distort the view of the company's operational efficiency. With the new requirements, the standardized starting point and the exclusion of interest and dividend activities from the operating category enhance the clarity and comparability of cash flow statements. This allows investors to better assess a company's ability to generate cash from main business activities.

Another financial component that is affected by the new standard is the balance sheet. One of the significant adjustments is the requirement to disclose impairment losses separately. This requirement enhances the transparency of the balance sheet by providing clear information on impairments, which are critical for understanding the valuation of assets. Prior to IFRS 18, entities widely used to aggregate impairment losses with other expenses, so that there was no way to know how much impairments were affecting the net position of capacity for stakeholder. With the new requirement, companies must now provide detailed disclosures of impairment losses, improving the visibility and understanding of these critical adjustments. IASB believes that this change will help investors and analysts to evaluate the true financial health in a better way, which leads investors to make more informed decision making.

Last of all, one of the most unexpected and substantial changes with the new standard is the requirement for detailed disclosures regarding MPMs, which was known as either APMs or non-GAAP metrics. With the IFRS 18, these metrics require a comprehensive disclosure in a single note to the financial statements. Companies must provide a description of the MPMs, explain why these measures offer useful perspectives, explain the calculation method, and reconcile the MPMs to the most directly comparable IFRS totals or subtotals, which are presented above. Besides these disclosures, the income tax effect and the effect on non-controlling interests for each reconciling item must be included. Non-GAAP metrics presentation and disclosure was widely dispersed before IFRS 18 and this results in a lot of inconsistency and incomparability. The problem was that the methodologies were different from one company to another, and so too was the level of detail, hence practitioners and stakeholders could not easily understand them or compare them across the companies. With IFRS 18, the comprehensive disclosure requirements for MPMs ensure that stakeholders receive consistent, transparent, and reliable information. This enhances the comparability of financial statements, allowing stakeholders to better understand the adjustments made to reach these measures and their implications for financial performance.

4.3 Concluding Remarks and Conclusions

The adoption of IFRS 18 represents a significant step forward in the evolution of financial reporting. The introduction of new subtotals as well as better definitions and classification of income and expenses and the harmonization of presentations of cash flow statements, and MPMs will improve transparency, comparability, usefulness and reliability of the financial statements. These effective changes will lead to cover up the shortcomings of the old standard IAS 1 and with that provide a transparent and more accurate image of a company's financial health. The revised income statement imposes new subtotals such as, operating profit and profit before financing and income taxes, distinguishing operational activity from non-operational activities for the stakeholders. This way, a firm is unable to hide poor operational performance behind inflows related to income from investments or financing activities. Similarly, the standardization of the cash flow statement, with operating profit as the starting point for the indirect method and the exclusion of interest and dividend activities from operating cash flows, offers a clearer view of a company's cash generation from its core operations. Moreover, the inclusion of MPMs in financial statements will be a significant adjustment for many entities, as this type of information has historically been disclosed outside of the financial statements. These requirements will also be addressing the previous inconsistencies associated with non-GAAP metrics. IFRS 18 ensures that these measures are reported in a way that is transparent, reliable, and comparable.

Overall, IFRS 18 will bring important improvements for the quality of financial reporting. It will help every involved party, stakeholders, companies, analysts, etc. Through the implementation of the new standard, investors also gain confidence in financial statements. The new standard represents a major step towards achieving more transparent, comparable and reliable financial reporting in an increasingly complex and global business environment.

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Signature

A handwritten signature in black ink, appearing to be 'Ogünler', written in a cursive style.